D 157 | An election changes the denominator

FICTIONAL offline three-series exit model. Crore distributable EQUITY cash after excluded liabilities. No actual sale, contract, account or spend.

Defined rights	Seed 10 at 40 post, A 30 at 150 post, B 100 at 500 post. Final weights founder.48/Seed.16/A.16/B.20. Explicit seniority B then A then Seed; not inferred from chronology. Seed/B 1 xnon-participating; A 1 xparticipating capped at 2 x investment, including preference, with optional conversion removing preference and cap.
Eight joint elections	0=stay preferred, 1=convert; each series elects as one block. Pay remaining preferences in seniority order, limited by cash. Founder and converted series share residual; nonconverted participating A joins until total cap then exits residual sharing. No guaranteed 1 x, repeated payout or negative cash.
Own best response	For each vector compare each series payout against toggling only its own election, others fixed. Stable means no positive unilateral gain above 0.00000001 crore numerical tolerance. Ties allowed. Stable is economic best response, not legal vote approval, coalition-proofness or a unique actual outcome.
Baseline exit 200	Seed convert/A preferred/B preferred is stable: founder 42/Seed 14/A 44/B 100. A uses.16/(.48+.16+.16)=.20 of 70 residual after B 100/A 30. Changed 500=>240/80/80/100; 1000=>480/160/160/200; 2500=>1200/400/400/500.
Thresholds are joint	Baseline-only thresholds: Seed indifferent 180; A cap starts 280; A converts above 400, indifferent 400; B indifferent 500. Recheck others elections and normalized denominators. Not independently investment/final weight for every series.
Counterfactual and limits	Set participation flag 0: at 200 founder 52.5/Seed 17.5/A 30/B 100, founder gain 10.5. At 500 founder gain ZERO since A converts both ways. No real Indian enforceability, CCPS/insolvency/tax, options, debt, fees, dividends, escrow or contingent consideration modeled.

Inputs | Stated economic rights only

Shaded fictional inputs; crore. All round post-money figures include prior as-converted holdings. No overhang or other dilution.

Seed investment crore	10.00
Seed post-money crore	40.00
A investment crore	30.00
A post-money crore	150.00
B investment crore	100.00
B post-money crore	500.00
Distributable equity exit cash crore	200.00
A total participation cap multiple (>=1)	2.00
A participation flag (0=no,1=yes)	1.00

Numeric/domain gate (1=yes)	1.000000

Strictly positive investment and positive founder weight required. Exit 0 allowed. Cap includes preference plus participation only while A remains preferred. Flag 0 makesAnon-participating; cap then irrelevant. Inputs are not real term sheets, exit values, accounts or independent legal review.

Ownership | Three consecutive priced rounds

Fractions, not percentages. No pool/notes/options/secondary/fees. Whole actual share quantities are not constructed.

Founder final fraction	0.480000
Seed final fraction	0.160000
A final fraction	0.160000
B final fraction	0.200000
Total	1.000000

Baseline.48/.16/.16/.20, total 1. Ownership is an input to residual rights, not guaranteed proceeds fraction. Preferred classes that stay non-participating are excluded from residual denominator. Reserved/unissued pool not invented as cash recipient.

Preferences | Each election changes claims

Eight vectors, 0 preferred/1 converted. Fixed explicit B > A > Seed ranking. Each preference is limited to remaining cash.

ID	Seed convert	A convert	B convert	Bpref	Apref	Seedpref	Residual
0	0	0	0	100.000000	30.000000	10.000000	60.000000
1	1	0	0	100.000000	30.000000	0.000000	70.000000
2	0	1	0	100.000000	0.000000	10.000000	90.000000
3	1	1	0	100.000000	0.000000	0.000000	100.000000
4	0	0	1	0.000000	30.000000	10.000000	160.000000
5	1	0	1	0.000000	30.000000	0.000000	170.000000
6	0	1	1	0.000000	0.000000	10.000000	190.000000
7	1	1	1	0.000000	0.000000	0.000000	200.000000

Vector ID=Seed flag+2*A flag+4*B flag. A convertedwaivesitscapandpreference. Preferences paid once only. Partial senior payment can exhaust cash. This is a stipulated all-series block election, not individual holder voting or actual charter consent.

Residual | Cap binds total A return

Other weight includes founder plus converted Seed/B. Eligible A is converted A or preferredparticipating A. Crore except fractions.

ID	Other weight	Aeligible weight	A residual	Other cash	Founder residual	Seed residual	B residual
0	0.480000	0.160000	15.000000	45.000000	45.000000	0.000000	0.000000
1	0.640000	0.160000	14.000000	56.000000	42.000000	14.000000	0.000000
2	0.480000	0.160000	22.500000	67.500000	67.500000	0.000000	0.000000
3	0.640000	0.160000	20.000000	80.000000	60.000000	20.000000	0.000000
4	0.680000	0.160000	30.000000	130.000000	91.764706	0.000000	38.235294
5	0.840000	0.160000	27.200000	142.800000	81.600000	27.200000	34.000000
6	0.680000	0.160000	36.190476	153.809524	108.571429	0.000000	45.238095
7	0.840000	0.160000	32.000000	168.000000	96.000000	32.000000	40.000000

One capped participating series only. Its residual first gets at most min(pro-rata residual, cap minus preference already paid). Remaining cash goes to othereligible holders by renormalized weights. This formula is not a multiple cap water filling solver. Conversion removes cap; no A payout beyond cap while staying preferred.

Payouts | Reconcile every vector

Crore. All 8 vectors visible, including unstable ones. Cash conservation does not make an election individually optimal.

ID	Founder	Seed	A	B	Sum	Sum-E
0	45.000000	10.000000	45.000000	100.000000	200.000000	0.000000
1	42.000000	14.000000	44.000000	100.000000	200.000000	0.000000
2	67.500000	10.000000	22.500000	100.000000	200.000000	0.000000
3	60.000000	20.000000	20.000000	100.000000	200.000000	0.000000
4	91.764706	10.000000	60.000000	38.235294	200.000000	0.000000
5	81.600000	27.200000	57.200000	34.000000	200.000000	0.000000
6	108.571429	10.000000	36.190476	45.238095	200.000000	0.000000
7	96.000000	32.000000	32.000000	40.000000	200.000000	0.000000

Every payout nonnegative and total E, not enterprise value. Gross proceeds only; no IRR/tax/debt recovery rate inferred. A choice can look better by itself but change another class best response; use next sheet, not independent standalone min/max thresholds.

Stability | One-class switches, others fixed

Gain is alternative own proceeds minus current, not another holder gain. Stable accepts numerical ties within 0.00000001 crore.

ID	Seed gain	A gain	B gain	Stable1/0
0	4.000000	-22.500000	-61.764706	0.000000
1	-4.000000	-24.000000	-66.000000	1.000000
2	10.000000	22.500000	-54.761905	0.000000
3	-10.000000	24.000000	-60.000000	0.000000
4	17.200000	-23.809524	61.764706	0.000000
5	-17.200000	-25.200000	66.000000	0.000000
6	22.000000	23.809524	54.761905	0.000000
7	-22.000000	25.200000	60.000000	0.000000

Stable vector count	1.000000
Selected ID (first stable,notuniqueclaim)	1.000000
Selected founder	42.000000
Selected Seed	14.000000
Selected A	44.000000
Selected B	100.000000
Selected payoutsum	200.000000

If no stable vector, selection undefined. If multiple stable vectors inspect each row; first ID is deterministic display only, not negotiation or legal priority. Ties may have same payouts without same election. No forced/automaticconversion, voting threshold, coalition check or actual accepted choice.

Benchmarks | Baseline rights, not forecasts

Use changed exit inputs and participation flag. These static reference rows are not an automatic multi-exit table.

Low exit 50	Senior B receives 50; all others 0. No 100 payment from 50 cash. Stable ties exist among irrelevant junior choices; nonnegativity and sum still required.
Exit 200	Participating A: founder 42/Seed 14/A 44/B 100. Nonparticipating A flag 0: 52.5/17.5/30/100. Difference founder 10.5. Seed convertswhileA/B stay preferred. Other eligible weight normalization matters.
Exit 500	240/80/80/100. Seed/A convert; B indifferent. A flag 0 gives SAME founder 240. Participation does not hurt founders in every exit. At 1000: 480/160/160/200; at 2500: 1200/400/400/500.
Seed threshold 180	At other stable elections A participates/B preferred: Seed preference 10 versus converted.20*(180-130)=10. At 180 founder 30/Seed 10/A 40/B 100. Below/above recheck all vectors.
A starts cap 280	Seed converted/B preferred, eligible weights.48+.16+.16=.80. A 30+.20*(E-130)=60 givesE 280. Then A stays 60 until conversion indifference at 400: converted.20*(E-100)=60. Cap not just participation alone.
Bthreshold 500	With Seed/A converted, B preferred 100 versus converted.20*E. Equal 500. All convert above. Thresholds change if rights/investments/ownership change. No debt, dividends, pools, escrow, contingent cash, fees, tax or actual legal clearance.

Actual evidence | No live sale or legal opinion

Blank fields are unknown. No actual issuer, cap table, exit, rights, vote, contract, account, upload, wire or consent.

Case / version	Proceeds / liabilities	Rights / ranking	Election / vote rule	Permission / audience	Accepted reviewer	Source / next check

Actual Indian enforceability, insolvency, CCPS/tax and case-specific advice unscored. Authored spreadsheet tests not native Excel/Sheets parity, independent learner/field/account/full source AV/overall 10. Economics table cannot provide consent, accepted reviewer or real legal priority.

Evidence | Explicit terms beat generic summaries

Six URLs/six publishers/three types: bank research commentary, practitioner/legal explainers, vendor product docs. Not six independent studies.

HSBC Innovation Banking	Complete returned written article read, not chart pixels/linked 2025 term-sheet report/data. Based on 588 UK 2024 term sheets, not India market norm. Guaranteed 1 xwording not adopted; insufficient proceeds limit cash. Explicit ranking, not universal last-in-first-out.
EquityList Jun 26, 2026	Complete returned written read, not images/linked tools. Its all convertibles must convert and independent threshold generalizations not universal. Actual YC liquidity rights provide counterexample; toy has no convertibles. Cap includes preference; conversion may remove cap under actual terms.
Eqvista homepage	Complete returned written homepage read, not product UI/linked pricing or actual features. Free homepage claim not entitlement to all waterfall modeling. No signup, upload, migration, valuation order, service access or purchase. No customer/valuation marketing claims validated.
CRV Sep 2, 2026	Complete returned written read. Simple preference/ownership threshold qualified for multiple classes/participation. Negotiation judgments, market percentages and Trados anecdote reported by practitioner, not independently validated/legal authority.
Oakshore product guide	Complete returned written/tables read, not interactive engine/code/execution. Economic class-wide elections/multiple stable outcomes disclosed. Actual post-money SAFE conversion/liquidity rights outside that version, no permission to enter records. Educational model not legal stock register.
Humphreys Law Apr 2020	Complete returned extracted written PDF read, not chart pixels/digitized curves. Multi-column line breaks/word fragments retain extraction limits. Historical UK tax/EIS/VCT/corona-marketcommentarynotcurrentIndiaorUKlegal clearance. No chart replication or underlying cases read.

Source 1 | open verified source

Source 2 | open verified source

Source 3 | open verified source

Source 4 | open verified source

Source 5 | open verified source

Source 6 | open verified source

Failure log | Authored arithmetic only

Checks added after execution. No actual learner results, legal audit, exit/account/native cross-viewer oroverall 10.

1	PASS: 181 baseline formulas independently recomputed.
2	PASS: 11 changed sets/1991 checks.
3	PASS: 18 boundaries/3258 checks.
4	PASS: 12 invalid sets/2172 checks.
5	PASS: 6 explicit exit/participation comparisons.
6	PASS: all8vectors,sum,nonnegative and own-switch checks.
7	PASS: 6 brokenrefs;restoredbaseline;blankactuals.
8	PASS: authored only;notlegal/nativeparity/learner/overall10.